

# CHAPTER TWO

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**RISK MANAGEMENT**

## After studying this chapter you should be able to:

1. Describe the **meaning** and **nature** for risk management.
2. Describe the **difference** b/n risk mgt and insurance mgt.
3. List and describe **pre** and **post-loss** objectives.
4. Describe the **process/steps** of risk management.
5. List the **source** of risk exposures identifications.
6. Describe the **risk financing** and **risk control** techniques.
7. List **the steps** of applying insurance.

# INTRODUCTION

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- This unit focuses on the **methods, procedures and techniques** used by the risk manager
  - so as to minimize the risk occur in a firm.
- Once we understand that risk always exist with a firm or human being activities,
  - managers should take different measure to avoid or reduce these losses or undesired events.



## 2.1. Meaning of risk management

- *The term risk management can be defined as “A systematic process for **Identification** and **Evaluation** of Pure risk exposures exposed to an organization or individual and for the **Selection** and **Implementation** of most appropriate techniques for treating such exposures*
- ▣ R.M is a systematic process
- ▣ Deals with pure risks



# Risk Management Vs Insurance Management

## Risk management (RM)

- ☐ R.M is a broader concept & deals with **all pure** risks exposures.
- ☐ In addition to insurance, R.M uses avoidance, loss prevention, loss control, retention, non- insurance transfer, separation. e.t.c as a tool to handle risk.
- ☐ R.M has a greater impact on the org'n.
- ☐ R.M. needs the coordination and help of all employees and departments in an organization.

## Insurance Mgt.

- ☐ Deals Only those risks having **high severity** and **low frequency**.
- ☐ It is only insurance
- ☐ Has lesser impact.
- ☐ Needs a few number of employees in the organization.

## 2.1. Risk Management Objectives

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- ❑ Risk management has objectives **before** and **after** a loss occurs
- ❑ Risk management objectives serves as a:
  - ♣ **prime source of guideline**
  - ♣ **bunch mark to evaluate the performance.**

### **Pre-loss objectives**

1. **The objective of economy.**
2. **Reduction of anxiety.**
3. **Discharging externally imposed obligations.**

### **Post-loss objectives**

1. **Insure Survival of the firm**
2. **Continued operation**
3. **Stabilize earning**
4. **Maintain growth**
5. **Minimize the effects on the society or stock holders.**

## 2.3. Steps in the Risk Management Process

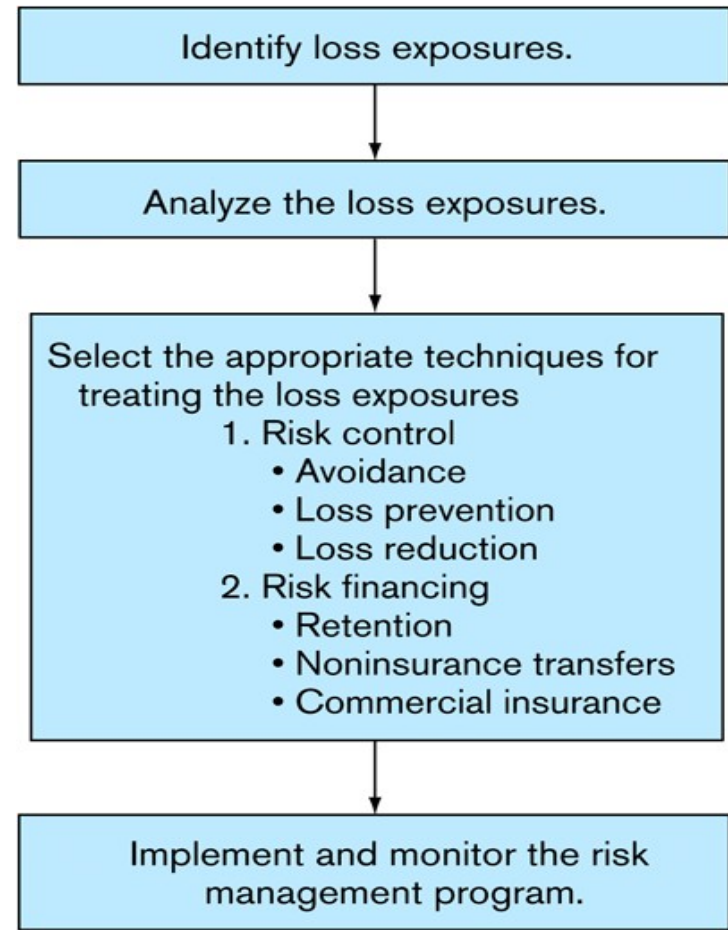
The process/ steps of risk management involves:

2.3.1. Identify potential losses

2.3.1. Evaluate potential losses

2.3.1. Select tool(s)

2.3.1. Administration of the program



## 2.3.1. Identification of potential risk exposures

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- ▣ This is the **first and most difficult** step
- ▣ Identification is a process by which a business **systematically and continuously** identifies **property, liability and personal** risk exposures
- ▣ Both *hidden and oblivious* risk exposures should be identified.
- ▣ If **we fails** to identify a given risk we will not have any due opportunity to determine the best way.



## 2.3.1. Identification of potential risk exposures (Cont...)

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### Sources of Identifying Loss Exposures

- Risk Managers have **several sources of information** to identify loss exposures both hidden and obvious:
  1. Risk analysis Questionnaires
  2. Physical observation and inspection
  3. Analyzing production and delivery flowcharts
  4. Analyzing Financial statements
  5. Through Historical and departmental loss claim data

## 2.3.2. Evaluation of potential risk exposures

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- ▣ It is about the *measurement* of the impact of a given risk on the organization
- ▣ Done through Estimate of *frequency* and *severity*.
  - Loss frequency: refers to the probable number of losses that may occur during some given time period
  - Loss severity: refers to the probable size of the losses that may occur
- ▣ Once loss exposures are analyzed, they can be ranked according to their relative importance
- ▣ Loss severity is more important than loss frequency:

## 2.3.2. Evaluation of potential risk exposures(cont...)

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### **Ranking potential risks based on severity:**

#### □ **Critical risks**

- ▣ Losses which may lead the firm to bankruptcy

#### □ **Important risks**

- ▣ Losses which may lead the firm to external assistance like borrowing

#### □ **Negligible/ unimportant risks**

- ▣ Losses which may have negligible financial impact on the firms financial wellbeing

## 3.3.2. Select the Appropriate Risk Management Technique

- ▣ It is about selecting or looking for appropriate tool (s) of risk management to treat the risk already identified and evaluated.
- ▣ **Roughly classified in two:**
  1. **Risk control techniques:**
    - ▣ refers to techniques that **reduce frequency and severity** of losses
    - ▣ The following are the common tools of risk management tools
      1. **Avoidance**
      2. **Loss prevention**
      3. **Loss reduction**
  2. **Risk financing techniques:**
    - ▣ refers to techniques that provide for the **funding of losses**
    - The following are the common tools of control tools
      4. **Retention**
      5. **Non-insurance Transfers**
      6. **Commercial Insurance**

# Risk Control Methods: 1. AVOIDANCE

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## 1. AVOIDANCE

- Avoidance means a certain loss exposure is **never acquired** or an existing loss exposure is **abandoned**.
- Is done either:
  - through refusing to assume a property, person, or activity which gives rise to possible loss even momentarily
  - or by abounding an existing exposure to loss assumed earlier and has been giving rise to a risk.
    - Examples:
      - 1
      - 2
      - 3
    - Advantages and disadvantages
      - 1
      - 2
      - 3

# Risk Control techniques: 2. & 3

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## 2. LOSS PREVENTION

- ▣ It is measures that reduce the “frequency” of a particular loss

## 3. LOSS CONTROL /REDUCTION

- ▣ It is a measures that **reduce both frequency and** severity
- ▣ **Examples of loss prevention measures (frequency)**
  - ▣ Institution of quality-control checks
  - ▣ Regular inspection of machinery
  - ▣ Due drivers exam
  - ▣ Improvement on product design.

## □ Examples of loss reduction measure (severity)

- Installation of an automatic fire alarm sprinkler system
- Having warehouses with inventories at different locations (**diversification**).
- Early treatment of injury
- Etc

# Tools of risk management: Retention

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## 4. Retention

- It is the ***most commonly*** and ***frequently*** used tools of risk management
- The **source of finance** for retention is both internal and external sources
- There are of two types of retention.

### Passive retention

1. When we don't know the risk exposure at all
2. When we poorly/wrongly measure the potential risk exposure

### Active retention

- When we properly, actively, identify and evaluate a risk exposure and decide retention as a best tools of risk management.

# Tools of risk management: Retention(cont...)

## Conditions to use Retention: 3 condition

1. When there *is no other tools or risk* management techniques
2. When the *worst possible loss is negligible*.
3. When the risk is easily predictable and we have an **advantage** over retaining the risk

## Determination or retention level

1. As a maximum level of 5% of the annual net income.
2. As a maximum level of 1%-5% of the working capital of the firm.

## Methods for paying losses

1. Out of the firms **current capital** (Internal source of finance )
2. Out of the funded or **unfunded reserves** (Internal source finance)
3. Out of **borrowing** (external source of finance)

# Tools of risk management: Retention(cont...)

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## Advantages

1. May Save money
2. May have Lower expenses
3. Encourage loss prevention
4. Increase cash flow

## Disadvantages

1. Possible higher losses
2. Possible higher expenses
3. Possible higher taxes

# Tools of risk management: **Non-Insurance transfer**

## 5. A non-insurance transfer:

- ▣ Is a method other than insurance by which a pure risk and its potential financial consequences are transferred to **another party** usually who is in a better position to exercise loss control and or other tools.
- ▣ Typical Examples: of non insurance transfer include:
  - ★ Transferring risks through **CONTRACTS**  
Example: AAU and XYZ constriction PLC
  - ★ Transferring risks through **LEASES** and  
Example:
  - ★ Transferring risks through **HOLDING -HARMLESS AGREEMENTS**  
Example: An Author and Publisher of a Book , Music e.t.c

## Tools of risk management: Non-Insurance transfer(cont...)

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### Advantages

1. Can transfer some losses that are not insurable
2. May Save money
3. Can transfer loss to someone who is in a better position to control losses

### Disadvantages

1. Contract language may be ambiguous, so transfer may fail
2. If the other party fails to pay, firm is still responsible for loss
3. Insurers may not give credit for transfers

## Tools of risk management: **Insurance**

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### **6. Insurance**

- Insurance is appropriate for loss exposures that happens infrequently and have a bigger magnitude of loss
- If we decide to apply insurance we have to have the following steps duly:
  1. Selection of insurance coverage
  2. Selection of an insurer (S)
  3. Negotiation of terms and conditions.
  4. Dissemination of information concerning the coverage
  5. Periodic review of the insurance program

# Tools of risk management: Insurance(cont...)

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## Advantages

1. Firm is indemnified for losses
2. Uncertainty is reduced
3. Insurers may additionally provide other risk management services
4. Premiums are tax-deductible

## Disadvantages

1. **Premiums may be costly:  
Opportunity cost should be considered**
2. **Negotiation of contracts takes time  
and effort**
3. **The risk manager may become lax  
in exercising loss control**

## Tools of risk management: Risk Management Matrix

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| <i>Type<br/>of Loss</i> | <i>Loss<br/>Frequency</i> | <i>Loss<br/>Severity</i> | <i>Appropriate<br/>Risk Management<br/>Technique</i> |
|-------------------------|---------------------------|--------------------------|------------------------------------------------------|
| 1                       | Low                       | Low                      | Retention                                            |
| 2                       | High                      | Low                      | Loss prevention<br>and retention                     |
| 3                       | Low                       | High                     | Insurance                                            |
| 4                       | High                      | High                     | Avoidance                                            |

## 3.3.2. Select the Appropriate Risk Management Technique

### 1. Risk control techniques:

1. Avoidance
2. Loss prevention
3. Loss reduction

### 2. Risk financing techniques:

4. Retention
5. Non-insurance Transfers
6. Commercial Insurance

## 2.3.4. Implement & administer the R. M Program

- This step of risk management process involves three major issues:

### 1. Preparation or risk management policy statement

★ Implementation of a risk management program begins with a risk management policy statement that:

- Outlines the firm's risk management objectives
- Outlines the firm's policy on loss control and other mechanisms

★ A risk management manual may be used to:

- Describe the risk management program
- Train new employees

## 2.3.4. Implement & administer the R. M Program(cont...)

### 2. Cooperative work with all other departments

- A successful risk management program requires active cooperation from other departments in the firm.

### 3. Periodic review and evaluation of the entire program

- The risk management program should be *periodically reviewed and evaluated to determine* whether the objectives are being attained and to update the R.M program with the changing environment.
- The risk manager should compare the costs and benefits of all risk management activities

Expect an assignment !

End!